Construction Partners (ROAD): Hold — Valuation Concerns

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A Sunbelt paving compounder priced for perfection. At $80.46, ROAD trades 32% above our $61.07 base case. A realistic WACC for a leveraged cyclical changes the math.

Hold — Valuation Concerns	$61.07	$80.46	-24%
RATING	BASE TARGET (BLENDED $65.02)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$33.78 / $104.17	8.56%	$3.36B	$3.66B	$1.79B	0.95
BEAR / BULL TARGETS	LIVE WACC	RECORD BACKLOG	FY26 GUIDE (MID)	NET DEBT	EQUITY BETA

Executive summary

We update our Construction Partners model to **Hold — Valuation Concerns** with a $61.07 base-case target (blended $65.02). ROAD is a vertically integrated Sunbelt infrastructure company with a genuine localized moat: hot-mix asphalt must be laid within 60-90 minutes of the plant, creating spatial monopolies around its plant clusters across eight states. The $3.36B record backlog and FY2026 guidance of $3.64-3.68B (+30% YoY) show the IIJA and Sunbelt migration tailwinds working. Revenue growth of 54% and stable fundamentals confirm the operating story is healthy.

Our five-year DCF (4.5% / 8.5% / 13.5% revenue CAGRs, FCF margins normalizing to 6% / 7% / 8%) yields Bear $33.78, Base $61.07, Bull $104.17 at an 8.56% live WACC. The stock has pulled back 33% from $120 to $80.46, but still trades 32% above our base case. The prior 7.6% WACC ignored the risk of 3.2x leverage on a cyclical construction business; a 1% cyclical/leverage premium corrects that.

> **Our read:** the drawdown has brought ROAD closer to fair value, but not to a bargain. Our reverse DCF shows $80.46 implies roughly **11.7% annual revenue growth**, between our base and bull cases. The $1.79B of net debt (3.2x EBITDA) is the constraint: deleveraging toward 2.5x must happen before the equity can re-rate. We are constructive on the franchise but patient on the price.

Base-case assumptions

INPUT	BEAR	BASE	BULL
5-yr revenue CAGR (FY26-30)	4.5%	8.5%	13.5%
2030 revenue ($B)	4.56	5.51	6.89
2030 FCF margin	6%	7%	8%
Terminal growth	2.5%	3.0%	3.5%
Target per share	**$33.78**	**$61.07**	**$104.17**

WACC 8.56% live (spot 10Y 5.24% + 0.95 beta x 3.37% implied ERP + 1.0% cyclical/leverage premium). Gordon terminal. Net debt $1.79B; 56.76M shares.

Bull case: $104.17 DATA-CENTER BOOM

Hyperscale AI site preparation accelerates across Texas and Oklahoma, IIJA funds flow ahead of expiry, and deleveraging expands margins. Revenue grows at 13.5% to $6.9B with 8% FCF margins. Worth $104.17, 29% above spot.

Bear case: $33.78 LEVERAGE BITES

High rates persist, weather disrupts paving seasons, and the 3.2x leverage constrains bidding. Revenue grows at 4.5% to $4.6B, FCF margins stall at 6%. Worth $33.78, 58% below spot.

Verdict

We rate ROAD Hold — Valuation Concerns. The franchise is excellent: a genuine localized moat in Sunbelt paving, a record $3.36B backlog, FY2026 guidance of $3.64-3.68B (+30% YoY), and revenue growth of 54% on stable fundamentals. Nothing about the operating story has deteriorated. The concern is purely valuation: at $80.46 the stock trades 32% above our $61.07 base case once the discount rate reflects leverage and cyclicality, and the risk-reward is skewed (29% upside to the bull case against 58% downside to the bear case). We reserve Sell for names where overvaluation meets fundamental deterioration; ROAD is the opposite: a strong, healthy business at a full price. We would revisit below $50, where the base case starts to offer compensation for the cyclical risk.

What would change our mind

- **Price:** a decline toward $55-67 would bring the stock within our 10% Hold band.
- **Deleveraging:** net leverage below 2.5x would reduce interest drag and lift targets.
- **Backlog acceleration:** data-center awards pushing backlog above $4B would support the bull case.

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Key themes

1. Spatial monopoly is a real moat STABLE

Asphalt's 60-90 minute lay window creates natural regional monopolies. ROAD's plant clusters command top-1 or top-2 share within 50 miles, with upstream integration into aggregates and liquid asphalt.

2. IIJA provides multi-year visibility ACCELERATING

Public infrastructure (60-65% of revenue) benefits from fixed federal allocations and state gas taxes, providing 3-5 years of recurring revenue visibility.

3. Data-center site prep is the growth kicker ACCELERATING

Expanded Texas and Oklahoma footprint positions ROAD for hyperscale AI site preparation, the fastest-growing private revenue stream.

4. Leverage is the constraint DECELERATING

$1.89B of debt against $95M of cash (3.2x EBITDA) reflects the M&A-driven expansion. Deleveraging toward 2.5x is the key financial milestone.

Other KPIs

METRIC	VALUE
Market cap (at $80.46)	$4.57B
Enterprise value	$6.36B
Q3 FY26 revenue / YoY	$999M / +28%
Q3 EPS / beat	$1.08 / +$0.07
Adj. EBITDA margin	16.3%
Net debt / EBITDA	3.2x

Guidance

Q4 FY2026 results are due November 19. Consensus expects $3.08 EPS for FY2026. Watch backlog conversion, deleveraging progress, and data-center award announcements.

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Reverse DCF: what the market is pricing in

At $80.46, ROAD carries a $4.57B market cap and a $6.36B enterprise value. The market-implied five-year revenue CAGR is roughly **11.7%**, between our base case (8.5%) and bull case (13.5%).

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	~11.7%	$80.46 (spot)
Bull case	13.5%	**$104.17**
Base case	8.5%	**$61.07**
Bear case	4.5%	**$33.78**

The market is pricing in strong execution, which the record backlog supports. The valuation is full rather than cheap: at 11.7% implied growth the market pays for a near-bull trajectory on a leveraged cyclical. Deleveraging toward 2.5x is the catalyst to watch.

Model

Full three-scenario 5-year detailed EBIT-bridge DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1aH0EPOQIILSlnet4bekLQPBW2U_o3yw3MZLaflZZ0fg/edit?usp=drivesdk

Risks to our Hold

- **Interest rates staying higher for longer would pressure the leveraged balance sheet.**
- **Severe weather seasons reducing billable paving days.**
- **Commodity spikes in liquid asphalt compressing margins before index adjustments catch up.**

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